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THE LIFE INSURANCE sector has faced a challenging year, with leading companies—including Life Insurance Corporation of India (LIC), HDFC Life Insurance Company and ICICI Prudential Life Insurance Company—witnessing a slump in their average market capitalisation.

LIC, which dominates the segment, saw its average market cap decline by about 10.8 per cent (from ₹4.42 lakh crore to ₹3.84 lakh crore) for the period of the BT500 study, while HDFC Life's market cap dropped by 1.3 per cent (from ₹1.25 lakh crore to ₹1.23 lakh crore)

and ICICI Pru Life's by 11.4 per cent (from around ₹79,000 crore to about ₹70,000 crore), per this year's BT500 list.

Among the top firms, SBI Life Insurance alone saw its market cap grow. Its average market cap increased by about 5.4 per cent (from ₹1.16 lakh crore to ₹1.23 lakh crore). Market capitalisation refers to the overall value of a company's shares.

This is reflected in the ranking on the BT500 2023 list. LIC fell to No. 11 from No. 9 last year, HDFC Life slipped to No. 41 from No. 39, and ICICI Pru dropped to No. 74 from No. 59. SBI Life, meanwhile, climbed one spot to 42 from 43 last year.

TAKING STOCK

Since it was established in 1956, LIC has become synonymous with the life insurance segment thanks to its near monopoly status for many years. And yet it wasn't until May 2022 that the behemoth was listed on the bourses. In the subsequent year and a half, the corporation has experienced a decline in its

share price. This has also been mirrored in its declining market share, which fell sharply to 58.5 per cent in September 2023 from 68.25 per cent in September 2022, according to data from the Life Insurance Council, a forum for life insurers. For context, just a decade ago in FY14, LIC's market share was around 75 per cent.

In this changed environment, one that is marked by significant volatility, LIC is set to face stiff competition from private insurers. Their innovative products and robust marketing strategies pose a significant challenge to LIC, highlighting the need for it to revamp its offerings and distribution channels to sustain its dominance.

According to Sonam Srivastava, Founder and CEO of investment advisory and research firm Wright Research, the decline in insurance market share can be attributed to multiple factors. "LIC has been criticised for its outdated products and distribution methods, making it challenging to compete against private insurers with innovative solutions. Private insurers have

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PERFORMANCE CHECK

➤ LIC has the lowest price-to-earnings ratio among large life insurers in India

➤ Among the Top 4, only SBI Life's average market cap increased in the last one year

Company Name	2023/2022 Rank	Average market cap* (₹ crore)	Profit after tax in ₹ crore	ROE (%)	TTM P/E Multiple
Life Insurance Corporation of India	11/9	3,94,836 (-10.8)	35,997 (772.7)	124.3	9.92
HDFC Life Insurance Company	41/39	1,23,503 (-1.3)	1,368 (3.1)	9.6	95.15
SBI Life Insurance Company	42/43	1,23,207 (5.4)	1,721 (14.2)	14.1	76.86
ICICI Prudential Life Insurance Company	74/ 59	70,381 (-11.4)	813 (7.2)	8.7	88.87

NOTE DATA AS OF NOVEMBER 17, 2023; *FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PROFIT AFTER TAX (PAT) AND ROE FOR FY23; P/E: PRICE TO EARNINGS; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YOY; RESULTS ARE ON A CONSOLIDATED BASIS; TTM: TRAILING 12 MONTHS **SOURCE** ACE EQUITY